

PBC502.04 SJ AR Students for FY24/25

Student Account Receivables and Aged Receivables

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Generate AR Receivable/Invoice Process:

- The debt represents tuition, mandatory campus fees, housing, and bookstore charges.
- Charges are initiated by the student when he registers for classes through their MySJSU portal. The Housing department posts housing charges to student accounts. All charges can be viewed through MySJSU.
- SJSU does not invoice students for registration charges. AR receivable is created when a student registers for courses and students are responsible for viewing their account on MySJSU for charges and payment due date(s).
- While SJSU does not invoice students, the Bursar's Office sends out multiple payment reminder messages via the PeopleSoft (PS) Messaging process starting approximately seven and two days prior to each due date to remind students with balances that they have a balance due. The messaging will not include students who have a fee deferral. They may have a fee deferral from the Financial Aid and Scholarship Office because they are receiving financial aid or one from the Bursar's Office because they are receiving a waiver or sponsorship.
- Payments can be made on-line (preferred method), in-person (cash or checks), by mail, or overnight drop box at the Bursar's Office (checks only).
- The Bursar's Office oversees the collection of registration and housing charges debt. As mentioned, Housing also oversees housing debt, until they have exhausted their efforts. Accounts are then referred to the Bursar's Office by Housing to send a final demand letter and to collect on those accounts.

Aged Receivables Collection Procedures

Due Diligence:

The Bursar's Office performs timely collection efforts to resolve aged receivables, in order to comply with due diligence per Federal, State, and University guidelines. We comply as follows:

- Holds are automatically placed by PeopleSoft (PS) on University records beginning the first day the balance is past due. For balances greater than \$2.00 and less than \$350.00, a service indicator is placed restricting diplomas, and for balances of \$350.00 or greater, a service indicator is placed restricting registration and diplomas.
- Student Account Specialists work the monthly receivables reports that show account balances that are 61+ days delinquent. Accounts are divided by alphabetic groups between the Student Account Specialists.

- Student Account Specialists reach out concerning the delinquent account balance based on the following timelines; 61-90 days past due, 91-120 days past due, and 121 – 150 days past due. The 121 – 150 days past due message is the final demand message and indicates that the account will be sent to a collection agency if not paid.
- These collection contacts/messages are sent to students via either the PeopleSoft Messaging System, emails, paper letter via USPS, and/or phone calls.
- A \$20.00 Administrative Fee (late fee) is charged to the account before the account is referred to an outside collection agency. The Student Account Specialist submits an adjustment sheet internally to the Associate Bursar for Student Accts/Collections for approval to have the \$20.00 charge added to student's account prior to sending the account to a collection agency.
- Student Account Specialists coordinate with Housing on outstanding housing balances, i.e., eviction proceedings have been initiated. Housing generally monitors and performs due diligence on outstanding housing balances while the student is currently registered. After Housing collection efforts are exhausted, they send a request to the Bursar's Office to send a final demand letter and the account is referred to a collection agency as needed.
- Skip tracing may be attempted when we have reference information to contact or can find other contact information on the internet.
- Accounts are referred to a collection agency after the add/drop period of the following term, if there is no response to our collection efforts and once we have sent the third past due notice (final demand). When an account is sent to a collection agency, a BO4 (Departmental Hold/COLL) service indicator is added in PeopleSoft.
- Accounts are also submitted to the Franchise Tax Board (FTB) for offsetting of State tax refunds. This process occurs yearly in November for past due debts of 100-days or more (does not include current term outstanding balance for enrolled students) with balances of \$50.00 or greater.
- Write-off if the debt is determined to be uncollectible (procedures below).
- Comments/notes are documented on the account in PS to track all collection activity.

Collection Letters and Collection Agency Referral:

- The Student Account specialists attempt three collection attempts. If the balance is not paid, then the account is assigned to an outside collection agency after the add/drop period of the following term.
- Prior to assigning the debt to a collection agency, departments are required by law to notify the debtor in writing at the address of record that the AR debt will be turned over for private collection unless the debt is paid or appealed within a specified time period (final demand letter).
- Accounts are referred to a collection agency for one year. If attempts with that agency are unsuccessful or no assets, account is returned and referred to a second collection agency.

Uncollectible Accounts:

After three progressive collection calls/messages/letters have been sent, debts that are 151-days delinquent with no payment or promise to pay will be handled as follows:

- If the account is \$349.99 or less, the Student Account Specialist will prepare an adjustment sheet after the add/drop period of the following term, and submit it to the Associate Bursar for a write off approval after all in office due diligence has been met. Place a BO2 - SMWOF service indicator, and enter comments on the PS account that includes the debt amount written-off, debt type, and term the debt originated. The Associate Bursar for Student Accts/Collections or Lead Collector will process the WO.
- If an account for \$350.00 to \$9,999.99 is returned from a second collection agency as uncollectible, the Student Account Specialist will prepare a write off request and submit to the Associate Bursar for 1st approval, who will send to the Sr AVP for Finance and Business Services for final approval. A B06 - WROFF service indicator for balances over \$350.00 is placed and comments noted on the debtor's PS account that includes the write-off amount, debt type, and term the debt originated. The Associate Bursar for Student Accts/Collections or Lead Collector will process the WO.
- For balances of \$10,000.00 and greater, the Student Account Specialist will prepare a write off request and submit to the Associate Bursar for 1st approval, who will send to the Sr AVP for Finance and Business Services for 2nd approval, and the VP of Finance for final approval. A B06 - WROFF service indicator is placed on the account. The Associate Bursar for Student Accts/Collections or Lead Collector will process the WO.
 - Holds placed on student accounts restricts services to the student, including but not limited to, registration and diplomas.
- The collection thresholds stated in the preceding sections applies to the total of all amounts owed by the debtor, not individual transactions/paychecks.
- Write-offs are prepared throughout the year by the Bursar's office, thereby complying with the fiscal year write-off deadline.

- **References:**

- Executive Order 731
 - Designation of CFO
- Executive Order 1000
 - Delegation of Fiscal Authority and Responsibility
- Section 42381 of Title 5, California Code of Regulation
 - Allows campus to withhold service as a collection tool
- Assembly Bill No. 1313
 - o Chapter 518